multibrand retail trading. This will help consumers and farmers as it will improve the selling and purchasing facilities.

(v) *Monetary Measures*

(a) The RBI had also taken suitable steps to contain inflation with 13 consecutive increases by 375 basis points (bps) in policy rates from March 2010 to October 2011.

Q. 29 Write a short note on the sub-prime crisis and point out the lessons for India.

Ans. The sub-prime crisis is related to the US mortgage market which first surfaced in July 2007. Simply said, this is a financial crisis generating from the default of the borrowers. It means that it is like the non-performing assets (NPAs) crisis of banks in India. But the analyses of the situation and the mode of financing involved make it highly complex. Let us have a look on the whole matter in the following steps:

Step 1: Borrowers with poor or less than standard (that is why *'sub-prime')* credit records were encouraged (to borrow by some of the world's leading banks and financial institutions!).

Step 2: These 'sub-prime loans' were then sold to other investment banks by the original lending banks and institutions.

Step 3: The investment banks (who purchased the sub-prime loans from the original lenders) in turn converted them (the loan papers) into marketable, complex financial instruments to spread risks and manage liquidity (i.e., fund).

Step 4: When the sub-prime borrowers defaulted in their repayment of mortgaged loans, the financial crisis originated–today known as the 'sub-prime crisis' around the world.

As the banks and financial institutions of the world are today more inter-connected due to financial globalisation, the crisis has spread to other non-US economies. The seriousness of the matter is best illustrated by the fact that no one knows who owns the bad debts. Worse, banks do not seem to know the extent of risks in some of the instruments they have created or for that matter when and where to expect them. The credit rating agencies involved with the debt instruments are themselves badly confused. The US